

EG US Daily: Escalation likely as Iran sees a path to controlling Hormuz

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US Daily

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Escalation likely as Iran sees a path to controlling Hormuz

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 - * Trump will use primetime speech to push election interference narrative
 - * Blanche will win confirmation and serve as a Trump loyalist
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Escalation likely as Iran sees a path to controlling Hormuz. With the shaky peace over, the US is likely to escalate military action as before against Iran by mid-August (55% odds), with the continuation of low-intensity fighting and de-escalation both lower-probability scenarios. In either an escalatory or continued standoff scenario, shipping through the Strait of Hormuz will be significantly constrained to under 10% of prewar levels and oil prices will be pushed higher, to the \$90-110 price range.

* Iran will be tempted to escalate to secure permanent influence over the strait; it is unsatisfied by the financial incentives of the June deal and seeks the bigger prize of permanent control over the Strait of Hormuz. Vectors for escalation include disrupting Red Sea traffic via Houthi allies in Yemen or strikes on regional energy infrastructure.

* American options for reopening the strait through force alone are limited. The US is working under a limited timeframe, with the depletion of oil and munition stockpiles making conflict more painful the longer it continues, and a campaign to fully reopen the strait would require a far greater commitment than Trump is likely to authorize.

* Likely targets for new US strikes therefore include Iran's remaining nuclear facilities and stockpiles of ballistic missiles as it seeks to weaken Iran enough to shift the balance of power in future negotiations.

* For more, please see Iran, MENA Crisis: Escalation likely as Iran sees path to Hormuz control , 15 July 2026.

Trump will use primetime speech to push election interference narrative. President Trump will reportedly focus on Chinese interference in the 2020 election in his primetime speech tonight, which could include the declassification of intelligence on the issue.

* For Trump, this will fill two roles. It will keep up his longstanding narrative that the result of the 2020 election was illegitimate, a narrative that has supporters among congressional Republicans (see quote below). It will also maintain pressure—albeit indirectly—on reluctant Republican members of Congress to pass the SAVE America Act on voter ID.

* Calling out China as having conducted election interference through influence campaigns is very unlikely to rock the boat on the US-China relationship; China is unlikely to react unless there is a tangible threat to Chinese interests.

* From the perspective of the conduct of the midterms, two developments would be most notable: if Trump proactively signals any intent to contest the results of close races if there is pre-election evidence of foreign interference, or if Trump denies the legitimacy of voting infrastructure, particularly voting machines, in Democratic-led states. Both would presage post-election legal fights that could, in tail-risk scenarios, lead to uncertainty about certification of election results in November.

Blanche will win confirmation and serve as a Trump loyalist. Acting Attorney General Todd Blanche faced tough questioning from both parties yesterday in his Senate confirmation hearing yesterday, but he remains likely to be confirmed by the Senate to lead the Department of Justice (DOJ) on a full-time basis.

* Senator Thom Tillis's (R-NC) remark that he is leaning toward a Yes vote is key: Tillis has been a key skeptic of Blanche's confirmation over concerns regarding the White House's "anti-weaponization" fund.

* Blanche will likely serve as a Trump loyalist in the role. Trump's three previous attorneys general have all clashed with the White House, leading to their eventual departures., Blanche has a closer personal relationship with Trump—Blanche served as Trump's defense attorney in his 2023 New York trial—that both puts him on stronger footing with the White House and signals a closer alignment.

* That means Blanche will keep up Trump's legal campaigns against his political enemies, both continuing current actions and initiating new ones. Democrats will make what they will characterize as the politicization of federal law enforcement a major campaign talking point in the midterms and thereafter, but that likely won't force the administration into a reversal.

Quote of the Day

"There were concerns expressed not only about Georgia, but about other states." - Sen. Cynthia Lummis (R-WY) in response to a reporter's question about the legitimacy of Georgia Democratic Senators Jon Ossoff and Raphael Warnock's elections. Ahead of President Trump's national address on election interference, this quote signals that GOP members are lining up to support the President's criticisms of the 2020 election and to potentially sow doubt regarding electoral losses in the 2026 midterms.

On the Radar

16 July: Senate Committee on Health, Education, Labor and Pensions holds confirmation hearing for Secretary of Labor nominee Keith Sonderling.

21 July: Senate Appropriations Committee hearing on Pentagon's supplemental request

24 July: Section 122 tariffs expire

27 July: Deadline for Maine Democratic Party to name Senate candidate

4 August: Michigan primary election

3 November: National midterm elections

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Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

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